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Case Name: Yao Bai Lee v. Christy Ryoo et al.

Case No.: 21CV386912

This is a case about disputed control of four companies: K&L Supply Co, Inc. (K&L Supply), YBL Holdings, Inc. (YBL), Skylars LLC (Skylars), and K&L Supply Korea, Co., Ltd. (K&L Korea). Plaintiff Yeo Lee (Plaintiff), the founder of the companies, alleges that defendant Christy Ryoo (Ryoo), the chief financial officer of K&L Supply, usurped control over the companies and over residential real estate owned by both Plaintiff and Ryoo.

At issue is Plaintiff's motion for leave to file a first amended complaint. For the reasons stated here, the court will deny the motion.

FACTUAL AND PROCEDURAL BACKGROUND

Plaintiff filed the original and still operative complaint in September 2021, naming as defendants Ryoo, K&L Supply, YBL Skylars, and K&L Korea. The complaint originally alleged 11 causes of action: (1) breach of oral contract (against Ryoo); (2) intentional infliction of emotional distress (against Ryoo and Doe defendants); (3) fraud (against Ryoo); (4) financial elder abuse (against Ryoo and Doe defendants); (5) constructive trust (against Ryoo and Doe defendants); (6) cancellation of written instruments (against Ryoo and Doe defendants); (7) appointment of receiver (against K&L Supply, YBL, Skylars, and K&L Korea); (8) rescission—fraud (against Ryoo and Doe defendants); (9) rescission—failure of consideration (against Ryoo and Doe defendants); (10) conversion (against Ryoo); and (11) declaratory relief (against Ryoo and Doe defendants).

The court issued a temporary restraining order (TRO) in September 2021, barring defendants from transferring any interest in the companies or the real estate pending a preliminary injunction hearing. The preliminary injunction hearing took place in November 2021. Plaintiff substituted new counsel into the case in December 2021, the law firm of Steyer Lowenthal Boodrookas Alvarez & Smith LLP. Plaintiff also filed an association of counsel by the firm of Valenci Rose, PLC. Both of those law firms remain his counsel of record.

The court granted a preliminary injunction by amended order in March 2022, barring defendants from transferring any interest in the companies or the real estate and ordering Plaintiff to deposit a \$30,000 undertaking.

Ryoo and the four entity defendants (collectively, Defendants) moved for summary judgment or adjudication in August 2024. Plaintiff later dismissed the first cause of action (breach of oral contract), second cause of action (intentional infliction of emotional distress), and third cause of action (fraud). Plaintiff moved for leave to file a first amended complaint in September 2024.

The motion for summary judgment or adjudication and the motion for leave to amend were both heard by the court (Judge Chung) in November 2024, along with other motions. The court granted summary judgment and denied the motion for leave to amend. The motion for leave to amend was denied because (1) summary judgment had been granted; (2) there had been unwarranted delay; and (3) allowing the amendment would materially prejudice Defendants because the proposed amendment presented a different factual scenario and sought

to add three new causes of action that would require Defendants to engage in further discovery less than a month before the trial date. Judge Chung's order did not reach Defendants' additional argument that the proposed amendment was a sham pleading.

Plaintiff appealed from the judgment entered following the summary judgment grant. The Court of Appeal reversed the judgment by unpublished opinion in February 2026. (*Lee v. Ryoo* (February 23, 2026, H052855) [nonpub. opn.]; 2026 Cal.App.Unpub. LEXIS 1230.) The appellate court directed this court to enter a new order denying summary judgment as to fourth cause of action (financial elder abuse), fifth cause of action (constructive trust), sixth cause of action (cancellation of instruments), and seventh cause of action (appointment of receiver). The court did not disturb the trial court's ruling on the ninth, 10th, or 11th causes of action. (*Id.* at pp. 69-70.) Plaintiff had not appealed the ruling as to the ninth or 10th causes of action.

The appellate court observed that Plaintiff's arguments about a confidential or fiduciary relationship between Plaintiff and Ryoo were not alleged in the complaint. "[N]either relationship was pleaded in the operative complaint. Because the pleadings define the scope of issues for summary judgment and the opposition may not rely on facts outside the pleadings, we do not consider [Plaintiff's] argument concerning the presumption of undue influence with respect to whether the trial court erred in summarily adjudicating the elder financial abuse cause of action." (*Id.* at p. 53, fn. 16., internal citation omitted.) The appellate court expressed no opinion on the merits of the motion for leave to amend. (*Id.* at p. 70.) The court takes judicial notice of Judge Chung's November 5, 2024 order and the unpublished appellate decision on its own motion. (Evid. Code, § 452, subd. (d).)

The case was remanded to this court in May 2026. Plaintiff filed a motion for trial preference in June 2026 (originally set for hearing in September) and a motion for leave to file a first amended complaint (originally set for hearing in November). The court granted in part Plaintiff's ex parte application to advance the hearings by advancing the motion for leave to amend to the September hearing on the motion for trial preference. After the court set a trial date for November 2026, Plaintiff withdrew the motion for trial preference (by oral motion at the trial setting conference). The motion for leave to file a first amended complaint is the only motion now before the court.

LEGAL STANDARD FOR MOTION FOR LEAVE TO AMEND

Motions for leave to amend are directed to the discretion of the court. "The court may, in furtherance of justice, and on any terms as may be proper, allow a party to amend any pleading." (Code Civ. Proc., § 473, subd. (a)(1).) The law generally favors amendments on the theory that cases should include all disputed matters between parties and should be decided on their merits. But leave to amend can be denied if the party seeking amendment unnecessarily delayed the motion, or if the delay prejudiced the opposing party. (*Hirsa v. Superior Court* (1981) 118 Cal.App.3d 486, 490.) Prejudice exists where, among other things, the amendment would require delaying the trial, loss of critical evidence, added costs of preparation, or increased burden of discovery. (*Magpali v. Farmers Group, Inc.* (1996) 48 Cal.App.4th 471, 486-488 (*Magpali*); see also *Payton v. CSI Electrical Contractors, Inc.* (2018) 27 Cal.App.5th 832, 849 (*Payton*) ["[D]enying a request for leave to amend a complaint may be appropriate when an unreasonable delay in seeking amendment prejudices the defendant. Prejudice can include the time and expense associated with opposing a legal theory that a plaintiff belatedly seeks to change."].) "Prejudice will not be presumed but must be

affirmatively demonstrated through production of evidence.” (*L&S Framing, Inc. v. Occupational Safety & Health Appeals Bd.* (2023) 93 Cal.App.5th 995, 1012.) Where some prejudice is shown, the court may still allow the amendment but can impose conditions. These can include continuing the trial date (if requested by the opposing party), limiting discovery, or ordering the party seeking the amendment to pay the costs and fees incurred by the opposing party in conducting discovery and preparing for trial on a newly added claim.

Arguments made for first time in reply briefs are not considered. (*Tellez v. Rich Voss Trucking Inc.* (2015) 240 Cal.App.4th 1052, 1066.)

DISCUSSION

The remaining causes of action in this case are the operative original complaint’s fourth cause of action for financial elder abuse, fifth cause of action for constructive trust, sixth cause of action for cancellation of instruments, and seventh cause of action for appointment of receiver.

Plaintiff seeks to replace the operative complaint with a proposed first amended complaint (FAC) alleging five causes of action: (1) financial elder abuse (against Ryoo); (2) breach of fiduciary duty—constructive fraud (against Ryoo); (3) cancellation of instruments (against Ryoo); (4) conversion (against Ryoo); and (5) accounting. (See exhibit B to the June 1, 2026 declaration of Andrew August.) Plaintiff failed to include a red-lined comparison of the currently proposed FAC to the operative complaint; the comparison is instead to the prior proposed FAC submitted with the previously denied motion to amend. That does not comply with California Rules of Court, rule 3.1324. The court has not considered the amended motion filed by Plaintiff in August 2026 or the supplemental declaration, both filed without prior leave of court.

Plaintiff’s motion for leave to file the proposed FAC is denied due to unnecessary delay that would prejudice Defendants. Plaintiff was unable or unwilling to answer questions about the allegations in the operative complaint during depositions in May and June 2023 and February 2024. But the first motion for leave to amend was not filed until August 2024, and it failed to give any explanation for why it was not filed sooner. Those depositions took place only after significant efforts by Plaintiff to delay or block them. (See report of discovery referee attached as exhibit F to the declaration of Reuben Camper Cahn.) The current proposed FAC, like the prior one, alleges that Plaintiff began experiencing memory loss and cognitive impairment in 2018. Assuming that is true, the facts supporting the purported need to amend would have been apparent to counsel soon after they were retained in December 2021. And yet the first motion to amend was filed more than three years later without adequate explanation. The current motion also fails to provide a satisfactory explanation for this delay. The subsequent appeal and remand did not eliminate consideration of whether there has been prejudicial delay in seeking leave to amend.

Defendants have also affirmatively demonstrated that they will suffer significant prejudice if the motion is granted. Like the proposed amended complaint Judge Chung considered, the proposed FAC here seeks to change the factual basis of the lawsuit. The operative complaint alleges that Plaintiff and Ryoo entered into an oral contract beginning in 2016 whereby she would control certain of his assets “on paper only” while he continued to “make all the important decisions”; that “Ryoo abided by the parties’ agreement” until 2021;

and that she then breached the agreement. (See complaint, ¶¶ 28-31.) Similarly, in declarations filed in September and October 2021, Plaintiff represented that Ryoo had devised a scheme to convince him to transfer assets to her that he would still have control over (essentially the now-dismissed first cause of action for breach of oral contract) and through fraud (the now-dismissed third cause of action), and that Ryoo had abided by that agreement—with Plaintiff remaining in true control of the companies—until August 2021.

In contrast to the operative complaint, the proposed FAC alleges that Plaintiff has been in cognitive decline and suffering from memory loss since 2018. A “plaintiff may not discard or avoid by making ‘ “ ‘contradictory averments, in a superseding, amended pleading.’ ” ” ” (Berg & Berg Enterprises, LLC v. Boyle (2009) 178 Cal.App.4th 1020, 1034.) The proposed FAC also alleges that Ryoo acted as Plaintiff’s interpreter at the 2018 adoption hearing, implying this was improper. (See ex. B to August decl., ¶ 47.) Judge Chung’s prior order explained that the proposed FAC’s allegations are contradicted by the reporter’s transcript for that hearing. The transcript from that hearing “reveals that there was a specific moment during the hearing when Ryoo spoke Korean to Lee in response to one of the court’s questions; the court (Judge Emede) then stated that it did not understand what was said and asked if the parties wished to have a court-appointed Korean interpreter; the parties declined the court’s offer; and then the hearing proceeded with Lee answering the court’s questions in English. (Plaintiff’s Exhibit 124, pp. 3:10-11:15.)” (November 5, 2024 order at p. 18:4, fn. 3.) The proposed FAC also presents new causes of action for breach of fiduciary duty and accounting that are not alleged in the operative complaint and presents new theories under the Probate Code not alleged in the operative complaint. If the amendment were permitted, these new additions would reasonably require Defendants to engage in substantial additional discovery.

Defense counsel Rueben Camper Cahn filed a declaration describing the prejudice to Defendants that would result from granting leave to amend. The Cahn declaration describes the additional discovery (written and depositions) and motion practice (including a pleading challenge and a motion for summary adjudication) that would be a reasonable result of granting the present motion, as well as an estimate of the amount of time that this additional discovery and motion work would take to accomplish. (See Cahn Decl. at ¶¶ 10-24.) The court finds this presentation persuasive. Granting the present motion would therefore require vacating the current trial date, and would likely not permit a trial until the end of 2027.

The court also finds the sham pleading doctrine militates against granting leave to amend. “[U]nder the sham pleading doctrine, plaintiffs are precluded from amending complaints to omit harmful allegations, without explanation, from previous complaints to avoid attacks raised in demurrers or motions for summary judgment.” (*State of California ex rel. Metz v. CCC Information Services, Inc.* (2007) 149 Cal.App.4th 402, 412, internal quotation marks omitted.) “If a party files an amended complaint and attempts to avoid the defects of the original complaint by either omitting facts which made the previous complaint defective or by adding facts inconsistent with those of previous pleadings, the court may take judicial notice of prior pleadings and may disregard any inconsistent allegations.” (*Colapinto v. County of Riverside* (1991) 230 Cal.App.3d 147, 151.) A plaintiff cannot simply discard inconvenient allegations; the plaintiff must explain inconsistencies between the existing and proposed pleadings. (*Falcon v. Long Beach Genetics, Inc.* (2014) 224 Cal.App.4th 1263, 1281-1282.)

The current proposed FAC, like the one previously submitted to Judge Chung, seeks to omit without explanation the factual allegations in the operative complaint that Plaintiff and

Ryoo entered into an agreement that Ryoo would be in charge on paper only, that Ryoo abided by this agreement with Plaintiff continuing to make all important decisions for a substantial period of time, and that Plaintiff relied on promises from Ryoo, implying the mental capacity to do so. (See complaint, ¶¶ 33, 40, 42, 45-46; opposition at pp. 11:24-13:6.) The proposed FAC also seeks to revive a cause of action for conversion even though summary judgment was previously granted as to a conversion cause of action.

Defendants' filed a motion for leave to file a surreply to plaintiff's reply on September 17, 2026, which is set for hearing in May 2027. Because the court is denying plaintiff's motion for leave to amend, the court likewise denies defendants' motion to file a surreply as moot. The court also did not consider plaintiff's unauthorized surreply filed September 18, 2026, which was filed without leave of court.

CONCLUSION

Plaintiff's motion for leave to amend the complaint is denied. Trial on the remaining causes of action in the operative complaint remains set for November 9, 2026.

Defendants' motion to file a surreply is denied as moot. The May 11, 2027, hearing on that motion is taken off calendar.

The court will prepare the order.

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Calendar Line 5

Case Name: Alicia Martinez et al. v. General Motors, LLC

Case No.: 25CV461813

This is an action under the Song-Beverly Consumer Warranty Act brought by plaintiffs Alicia Martinez and Misael Aparicio-Caballero (Plaintiffs) against General Motors, LLC (GM) and Doe defendants. The lawsuit is based on Plaintiffs' purchase of a 2018 Buick Enclave (subject vehicle) in April 2018. As part of the purchase, Plaintiffs entered into a warranty contract with GM.

Plaintiffs' original complaint was filed in March 2025. The operative first amended complaint (FAC) was filed in February 2026. The FAC alleges five causes of action: (1) violation of Civil Code section 1793.2, subdivision (d); (2) violation of Civil Code section 1793.2, subdivision (b); (3) violation of Civil Code section 1793.2, subdivision (a)(3); (4) breach of the implied warranty of merchantability; and (5) fraudulent inducement—concealment. A copy of the warranty agreement is attached to the FAC as exhibit A.

At issue is GM's demurrer to the FAC, opposed by Plaintiffs.

LEGAL STANDARD FOR DEMURRER

In ruling on a demurrer, the court accepts as true all properly pleaded material factual allegations but does not accept as true contentions, deductions or conclusions of fact or law. (*Valero v. Spread Your Wings, LLC* (2023) 88 Cal.App.5th 243, 253.) Code of Civil Procedure section 430.60 states that "[a] demurrer shall distinctly specify the grounds upon which any of the objections to the complaint, cross-complaint, or answer are taken. Unless it does so, it may be disregarded." The California Rules of Court also require that the demurrer itself (distinct from a supporting memorandum) specify the target of any objection and the grounds. (Cal. Rules of Court, rules 3.1103(c), 3.1112(a), 3.1320(a) ["Each ground of demurrer must be in a separate paragraph and must state whether it applies to the entire complaint, cross-complaint, or answer, or to specified causes of action or defenses."].)

The court cannot consider extrinsic evidence in ruling on demurrers. This includes declarations. The court has considered the declaration from defense counsel only to the extent it discusses the meet and confer efforts required by statute. Finally, "points raised in the reply brief for the first time will not be considered." (*Proctor v. Vishay Intertechnology, Inc.* (2013) 213 Cal.App.4th 1258, 1273.)

DISCUSSION

GM argues that the FAC's first, second, and third causes of action are time-barred by the statute of repose in Code of Civil Procedure section 871.21. GM contends that the fourth cause of action is time-barred by an unidentified four-year statute of limitations, and that the fifth cause of action is time-barred by an unidentified three-year statute of limitations. And GM argues the fifth cause of action fails to state sufficient facts. (See notice of demurrer and demurrer.)

First, Second, and Third Causes of Action (Code Civ. Proc., § 871.21)

Assembly Bill No. 1755 added chapter 12 to title 10 of part 2 of the Code of Civil Procedure. (Unspecified statutory references are to the Code of Civil Procedure.) The bill added sections 871.20 through 871.28. The bill was signed by the Governor in September 2024 and became effective on January 1, 2025. (Stats. 2024, ch. 938.) It initially applied to all actions seeking restitution, vehicle replacement, or civil penalties under Civil Code sections 1793.2, 1793.22, and 1794, regardless of the vehicle manufacturer. (Former section 871.20; Stats. 2024, ch. 938, § 1.)

Section 871.21 includes two statutes of repose. Section 871.21, subdivision (a) provides that an action governed by “Section 871.20 shall be commenced within one year after the expiration of the applicable express warranty.” Section 871.21 states, “Notwithstanding subdivision (a), an action covered by Section 871.20 shall not be brought later than six years after the date of original delivery of the motor vehicle.”

The Legislature amended chapter 12 with Senate Bill No. 26, urgency legislation which became effective upon the Governor’s signature on April 2, 2025. (Stats. 2025, ch. 1.) Senate Bill No. 26 amended sections 871.20 and 871.24. It also added sections 871.29 and 871.30. Senate Bill No. 26 amended chapter 12 in a fundamental way by making its provisions applicable only to vehicle manufacturers who opt in to its requirements. Section 871.20, subdivision (a), now provides that chapter 12 applies to actions “brought against a manufacturer who has elected under section 871.29 to proceed under this chapter.” Section 871.30, subdivision (a), provides: “Within 30 days of the effective date of the act adding this section, a manufacturer may elect to be governed by this chapter for all actions described in subdivision (a) of Section 871.20 with respect to all of its motor vehicles sold in the year 2025 and in all prior years by providing written notice of that election to the Arbitration Certification Program within the Department of Consumer Affairs.” That section continues that if a manufacturer fails to opt in, chapter 12 will not apply to actions against that manufacturer filed between January 2025 and April 2025. (§ 871.30, subd. (c).)

As an initial matter, it is not apparent from the FAC that GM opted into Chapter 12. The demurrer to these three causes of action on this ground can be overruled for that reason alone.

There is a general presumption against retroactive application of new statutes “in the absence of a clear indication of a contrary legislative intent, such as express language of retroactivity.” (*Quarry v. Doe I* (2012) 53 Cal.4th 945, 955.) But legislation that “shortens a limitations period is considered procedural and is applied retroactively to preexisting causes of action, so long as parties are given a reasonable time in which to sue.” (*Coachella Valley Mosquito & Vector Control Dist. v. California Public Employment Relations Bd.* (2005) 35 Cal.4th 1072, 1091-1092.) “When necessary to provide a reasonable time to sue, a shortened limitations period may be applied prospectively so that it commences on the effective date of the statute, rather than on the date the cause of action accrued.” (*Id.* at p. 1092.) If a “period has been legislatively shortened, constitutional and substantive issues will arise concerning retrospective application if: ‘[I]n a given case, that retrospective application may violate due process by in effect eliminating the plaintiff’s right. If the time left to file suit is reasonable, no such constitutional violation occurs, and the statute is applied as enacted. If no time is left, or only an unreasonably short time remains, then the statute cannot be applied at all.’ ” (*Sznyter v. Malone* (2007) 155 Cal.App.4th 1152, 1162.) Whether a party has a reasonable time after a change in law to file an action is a question of law. (*Ibid.*)

Section 871.21 does not bar Plaintiffs' action. If the court applied the statute of repose, Plaintiffs would have had to file suit by April 2024, which was months before Assembly Bill No. 1755 was signed. It is unreasonable to conclude that Plaintiffs were required to comply with a deadline completed approximately eight months before the effective date of the law creating the deadline. Plaintiffs arguably could have timely filed suit in the few months between when the legislation was approved in September 2024 and when it took effect in January 2025. But the court concludes that period is not a reasonable time after the change in law, meaning the court will not apply the statute of repose in this case.

GM's demurrer to the FAC's first, second, and third causes of action on the ground that they are barred by the statute of repose in Code of Civil Procedure section 871.21 is overruled.

Fourth Cause of Action

"A complaint showing on its face the cause of action is barred by the statute of limitations is subject to general demurrer." (*Iverson, Yoakum, Papiano & Hatch v. Berwald* (1999) 76 Cal.App.4th 990, 995.) The running of the statute must appear clearly and affirmatively from the dates alleged—it is not enough that the complaint might be barred. (*Committee for Green Foothills v. Santa Clara County Board of Supervisors* (2010) 48 Cal.4th 32, 42.) "Generally, the limitations period starts running when the last element of a cause of action is complete." (*NBCUniversal Media, LLC v. Super. Ct.* (2014) 225 Cal.App.4th 1222, 1231.)

While not labeled as a Song-Beverly claim, the fourth cause of action is expressly based on Civil Code sections 1791.1, 1794, and 1794.5. (See FAC at ¶¶ 66-70.)

"Under the implied merchantability warranty, 'every sale of consumer goods that are sold at retail in this state shall be accompanied by the manufacturer's and the retail seller's implied warranty that the goods are merchantable.'" (*Brand v. Hyundai Motor America* (2014) 226 Cal.App.4th 1538, 1545, quoting Civ. Code, § 1792.) "The warranty 'arises by operation of law' and therefore applies despite its omission from a purchase contract." (*Id.*) "Merchantability, as pertinent here, means that the goods '[p]ass without objection in the trade under the contract description,' and are 'fit for the ordinary purposes for which such goods are used.'" (*Ibid.*, quoting Civ. Code, § 1791.1, subd. (a).) To properly assert a breach of implied warranty claim, a plaintiff must allege a breach of warranty, occurring while the warranty is valid, and bring suit within the limitations period. (*Mexia v. Rinker Boat Co., Inc.* (2009) 174 Cal.App.4th 1297, 1306 (*Mexia*).) The "implied warranty of merchantability may be breached by a latent defect undiscoverable at the time of sale." (*Id.* at p. 1304.) Thus, if a product is sold with a latent defect, the implied warranty is breached "by the existence of the unseen defect, not by its subsequent discovery." (*Id.* at p. 1305.) "Because an implied warranty is one that arises by operation of law rather than by an express agreement of the parties, courts have consistently held it is not a warranty that explicitly extends to future performance of the goods." (*Cardinal Health 301, Inc. v. Tyco Electronics Corp.* (2008) 169 Cal.App.4th 116, 134, internal citations and quotation marks omitted.)

The applicable limitations period is four years under Commercial Code section 2725, subdivision (1). The claim accrues "when the breach occurs, regardless of the aggrieved party's lack of knowledge of the breach." (Com. Code, § 2725, subd. (2).) The duration

provision in the Song-Beverly Act provides that the duration “ ‘shall be coextensive in duration with an express warranty which accompanies the consumer goods, ... [but] in no event shall such implied warranty have a duration of less than 60 days nor more than one year following the sale.’ ” (*Mexia, supra*, 174 Cal.App.4th at p. 1304, quoting Civ. Code, § 1791.1, subd. (c).)

The FAC alleges that Plaintiffs acquired the subject vehicle in April 2018. The original complaint was filed more than four years later in March 2025. The fourth cause of action is time-barred on its face.

The equitable tolling and delayed discovery allegations in the complaint are so generic and conclusory that they are legal and factual conclusions that cannot be accepted as true on demurrer. (See FAC at ¶¶ 34-50; *Valero, supra*, 88 Cal.App.5th at p. 253.) When a plaintiff relies on a theory of fraudulent concealment, delayed accrual, equitable tolling, or estoppel to save a cause of action that otherwise appears on its face to be time-barred, he or she must specifically plead facts which, if proved, would support the theory. (*Mills v. Forestex Co.* (2003) 108 Cal App 4th 625, 641 (*Mills*).) To properly allege delayed discovery, a plaintiff must specifically plead the time and manner of discovery and show the following: 1) the plaintiff had an excuse for late discovery; 2) the plaintiff was not at fault in discovering facts late; 3) the plaintiff did not have actual or presumptive knowledge to be put on inquiry; 4) the plaintiff was unable to make earlier discovery despite reasonable diligence. (*E-Fab, Inc. v. Accountants, Inc. Services* (2007) 153 Cal.App.4th 1308, 1319, 1324-1325.)

The opposition contends *Mexia* allows for delayed discovery of a breach of implied warranty claim. To the contrary, *Mexia* determined that latent defects that exist in the first year after tender of delivery, even if they do not manifest until after the first year, can be a basis for a breach of implied warranty claim, so long as the claim is filed within four years of the date of sale. (*Mexia, supra*, 174 Cal.App.4th at pp. 1306-1307.) *Mexia* did not articulate or purport to apply a delayed discovery rule because resort to such a rule was unnecessary in that case. The *Mexia* action was filed within four years of the date of purchase of the item (a boat) that contained the latent defect. By contrast, here Plaintiffs’ original complaint was filed nearly seven years after acquiring the subject vehicle.

GM’s demurrer to the fourth cause of action on statute of limitations grounds is sustained. A plaintiff bears the burden of demonstrating that an amendment would cure the defect identified on demurrer. (*Schifando v. City of Los Angeles* (2003) 31 Cal.4th 1074, 1081.) Plaintiffs’ opposition does not meet this burden. The court will grant leave to amend the fourth cause of action because this is the first pleading challenge to be heard in this case. The court does not grant leave to add new causes of action or parties.

Fifth Cause of Action

Statute of Limitations

GM’s demurrer to the FAC’s fifth cause of action for fraudulent inducement concealment on the ground that it is barred by the applicable statute of limitations is also sustained.

The statute of limitations applicable to the fifth cause of action for fraudulent inducement through concealment is the three-year statute set forth in Code of Civil Procedure

section 338, subdivision (d). Under that statute, a claim for fraud accrues, thereby triggering the three-year limitations period, on the date of “discovery, by the aggrieved party, of the facts constituting the fraud.” (Code Civ. Proc., § 338, subd. (d); *Britton v. Girardi* (2015) 235 Cal.App.4th 721, 734.) “‘Although the statute does not expressly provide that the claim will accrue based upon either actual or inquiry notice of the claimant, California courts have long construed it in such a fashion.’ As our Supreme Court has long held, under Code of Civil Procedure section 338, subdivision (d), a ‘plaintiff must affirmatively excuse his [or her] failure to discover the fraud [or mistake] within three years after it took place, by establishing facts showing that he [or she] was not negligent in failing to make the discovery sooner and that he [or she] had no actual or presumptive knowledge of facts sufficient to put him [or her] on inquiry.’” (*Krolikowski v. San Diego City Employees’ Retirement System* (2018) 24 Cal.App.5th 537, 561-562, internal citations omitted.)

The facts constituting the fraud here are the sale of the subject vehicle to Plaintiffs in April 2018 without disclosure of a transmission defect allegedly known to GM. (FAC at ¶¶ 71-83.) The original complaint was filed almost seven years later. The FAC’s conclusory allegations of tolling, including assertions that Plaintiffs discovered the alleged fraud “shortly before” filing the original complaint, do not satisfy the standard for pleading equitable tolling or delayed discovery. Nor do they affirmatively excuse the failure to discover the alleged fraud within three years of purchasing the subject vehicle. (See FAC at ¶¶ 34-50.) The court will grant leave to amend the fifth cause of action because this is the first pleading challenge in the case.

Sufficient Facts

GM’s demurrer to the fifth cause of action on the ground that it fails to state sufficient facts is overruled.

The elements of fraudulent concealment are: (1) the defendant concealed or suppressed a material fact; (2) the defendant was under a duty to disclose the fact to the plaintiff; (3) the defendant intentionally concealed or suppressed the fact with the intent to defraud the plaintiff; (4) the plaintiff was unaware of the fact and would not have acted as he or she did if the plaintiff had known of the concealed or suppressed fact; and (5) as a result of the concealment or suppression of the fact, the plaintiff sustained damage” (*Burch v. CertainTeed Corp.* (2019) 34 Cal.App.5th 341, 348 (*Burch*), citing *Bigler-Engler v. Breg, Inc.* (2017) 7 Cal.App.5th 276, 310-311 (*Bigler-Engler*)). “With respect to concealment, there are four circumstances in which nondisclosure or concealment may constitute actionable fraud: (1) when the defendant is in a fiduciary relationship with the plaintiff; (2) when the defendant had exclusive knowledge of material facts not known to the plaintiff; (3) when the defendant actively conceals a material fact from the plaintiff; and (4) when the defendant makes partial representations but also suppresses some material facts. The latter three circumstances presuppose the existence of some other relationship between the plaintiff and defendant in which a duty to disclose can arise. This relationship has been described as a transaction, such as that between seller and buyer, employer and prospective employee, doctor and patient, or parties entering into any kind of contractual arrangement.” (*Id.* at pp. 349-350, internal quotations and citations omitted.)

GM argues the fifth cause of action fails to state sufficient facts for three reasons: a failure to plead fraud with particularity; a failure to plead that GM had a duty to disclose; and because the action is barred by the economic loss rule. (See memorandum at pp. 8:16-9:2.)

The fifth cause of action is not barred by the economic loss rule. The “economic loss rule does not apply to limit recovery for intentional tort claims like fraud.” (*Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1, 38.) More specifically, the economic loss rule does not apply to fraudulent inducement of a contract. (*Erlich v. Menezes* (1999) 21 Cal.4th 543, 552 (*Erlich*); *Robinson Helicopter Co. v. Dana Corp.* (2004) 34 Cal.4th 979, 989-990 (*Robinson*); *County of Santa Clara v. Atlantic Richfield Co.* (2006) 137 Cal.App.4th 292, 328-329 [“The analysis [in *Robinson*] suggested that fraud *itself* is immune from application of the economic loss rule because fraud is particularly blameworthy and therefore unlike both contract causes of action and products liability causes of action.”], internal citation omitted.)

Rattagan concerned fraud alleged to have occurred during a contractual relationship, not fraud in the inducement of a purchase. (See *Rattagan, supra*, 17 Cal.5th at p. 41, fn. 12 [“*Rattagan*’s tort claims are, of course, based on alleged conduct committed during the contractual relationship but purportedly outside the parties’ chosen rights and obligations.”].) The *Rattagan* court made clear it was not addressing fraudulent inducement of contract. Where a fraudulent inducement of a contract is alleged, the fraud occurs prior to the formation of the contract and is separate from the contract.

Regarding particularity, each element in a fraud cause of action must generally be pleaded with specificity. (*Cadlo v. Owens-Illinois, Inc.* (2004) 125 Cal.App.4th 513, 519.) In the case of fraud by concealment or omission, however, courts require less particularity because “[h]ow does one show ‘how’ and ‘by what means’ something didn’t happen, or ‘when’ it never happened, or ‘where’ it never happened?” (*Alfaro v. Community Housing Improvement System & Planning Ass’n, Inc.* (2009) 171 Cal.App.4th 1356, 1384 (*Alfaro*)). Less specificity is required when it appears from the nature of the allegations that the defendant necessarily possesses full information concerning the facts of the controversy. (*Committee on Children’s Television, Inc. v. General Foods Corp.* (1983) 35 Cal.3d 197, 217 (*Committee*), superseded by statute on other grounds as stated in *Californians for Disability Rights v. Mervyn’s, LLC* (2006) 39 Cal.4th 223, 227.)

The FAC alleges that GM manufactures, distributes, markets, and sells motor vehicles in Santa Clara County, California. (FAC at ¶ 4.) It alleges that Plaintiffs entered into a contract with GM, the written warranty contract attached as an exhibit, in April 2018. (*Id.* at ¶ 6.) It also alleges that GM knew of the alleged transmission defect and did not disclose it to consumers like Plaintiffs. (*Id.* at ¶¶ 74, 78-81.) At least one appellate court has found similar allegations sufficient to support a cause of action for fraudulent concealment. (*Dhital v. Nissan North America, Inc.* (2022) 84 Cal.App.5th 828, 843-844.) Although the Supreme Court initially granted review in *Dhital*, it subsequently dismissed review, which means *Dhital* is precedential authority. (Cal Rules of Court, rule 8.1115(e)(2)).) The court finds that *Dhital* is persuasive.

Regarding a duty to disclose, the FAC alleges a direct contractual relationship between GM and Plaintiffs via the warranty agreement. “[A]ny kind of contractual relationship” is sufficient to impose a duty to disclose. (*Burch, supra*, 34 Cal.App.5th at p. 350.) Even if the warranty contract was not enough to give rise to a duty to disclose, in California a “vendor has

a duty to disclose material facts not only to immediate purchasers, but also to subsequent purchasers when the vendor has reason to expect that the item will be resold.” (*OCM Principal Opportunities Fund, L.P. v. CIBC World Markets Corp.* (2007) 157 Cal.App.4th 835, 859.) As a vehicle manufacturer and distributor, GM has reason to expect that its vehicles are likely to be sold by dealerships to consumers. The duty to disclose as a vendor is therefore triggered.

CONCLUSION

GM’s demurrer to the FAC’s first, second, and third causes of action on the ground that they are barred by the statute of repose in Code of Civil Procedure section 871.21 is overruled.

GM’s demurrer to the FAC’s fourth cause of action on the ground that it is time-barred by the four-year statute of limitations in Commercial Code section 2725, subdivision (1) is sustained with leave to amend.

GM’s demurrer to the FAC’s fifth cause of action on the ground that it is time-barred by the three-year statute of limitations in Code of Civil Procedure section 338, subdivision (d) is sustained with leave to amend. GM’s demurrer to the fifth cause of action on the ground that it fails to state sufficient facts is overruled.

Any amended complaint must be filed and served no later than October 22, 2026.

The court will prepare the order.

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Calendar Line 7

Case Name: Sara Stel et al. v. Kevin Ebrahimi

Case No.: 25CV481056

This is an action for, among other things, breach of contract brought by self-represented plaintiffs Sara Stel and Sacha Stel (Plaintiffs) against their former landlords.

The original complaint was filed in December 2025 against defendants Kevin Ebrahimi and Giti Ebrahimi. The operative first amended complaint (FAC) was filed in January 2026. The FAC alleges five causes of action: (1) breach of contract; (2) breach of the implied covenant of good faith and fair dealing; (3) breach of the covenant of quiet enjoyment; (4) violation of the Tenant Protection Act (TPA); and (5) declaratory relief. The FAC lists several exhibits, but none are actually attached to the FAC.

Plaintiffs dismissed Giti Ebrahimi as a defendant in February 2026. Rather than file an answer to the FAC, defendants filed a motion to stay the case in February 2026. That motion to stay was denied by the court in early September 2026.

At issue is Plaintiffs' motion for leave to file a second amended complaint (SAC). Defendant Kevin Ebrahimi (now the sole defendant) opposes.

DISCUSSION

A trial court has discretion to "allow a party to amend any pleading." (Code Civ. Proc., § 473, subd. (a)(1); *Board of Trustees v. Superior Court* (2007) 149 Cal.App.4th 1154, 1163.) Leave to amend can be denied if the party seeking amendment unnecessarily delayed the motion, or if the delay prejudiced the opposing party. (*Hirsa v. Superior Court* (1981) 118 Cal.App.3d 486, 490.)

Plaintiffs seek leave to amend "to clarify that this action is focused exclusively on Defendant's conduct during the lease renewal process, including withdrawal of renewal representations, refusal of tendered rent, and related contractual and promissory obligations. [¶] The proposed amendment removes any potential ambiguity regarding overlap with the unlawful detainer proceeding and expressly confirms that Plaintiffs do not seek restoration of possession in this action." (Plaintiffs' Notice of Motion and Motion, which lacks page numbers.)

The proposed SAC is attached to Plaintiffs' joint declaration. It alleges four causes of action: (1) breach of contract; (2) breach of the implied covenant of good faith and fair dealing; (3) breach of the covenant of quiet enjoyment; and (4) declaratory relief. The claim for violation of the TPA is abandoned. Like the FAC, the proposed SAC references several exhibits, but none are actually attached.

Defendant's one-page opposition does not expressly argue that the motion should be denied or expressly argue that permitting the amendment would prejudice Defendant. It instead asks the court to either continue the motion to amend until after a related unlawful detainer appeal is decided, or to grant the motion but stay Defendant's obligation to respond until after that appeal is decided. Neither request is a basis for denying the motion for leave to

amend. The court already denied Defendant's separate motion to stay this case pending the resolution of the unlawful detainer appeal.

CONCLUSION

Plaintiffs' motion for leave to file the proposed second amended complaint is GRANTED.

Plaintiffs must separately file and serve the proposed second amended complaint no later than October 14, 2026.

The court will prepare the order.

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